It is defined as, " a complete check and analysis of certain items and contingent upon effective check, an appropriate test check on remaining items, the whole of the work being in accordance with general audit standards quite adequate to justify an unqualified person."

## 2.8 Balance Sheet Audit

The term "Balance sheet Audit" is an American contribution. It is more popular in U.S.A. It is very rarely used in India and other countries. In balance sheet audit, the auditor verifies the balance sheet items such as capital, liabilities, reserves and provisions, assets and other items given in the balance sheet. The auditor checks only those documents, which are related to the items given in the balance sheet and does not review other items which are not connected with the Balance Sheet.

Although, Balance Sheet Audit concentrates on the items of Balance Sheet, it does not exclude audit of other business operations. As the balance of Profit and Loss Account itself is part of the Balance Sheet, it will invariably include the examination of the items recorded in the Profit and Loss Account. It is similar to an annual audit. In India, no distinction is made between Balance Sheet Audit and Annual Audit.

In this audit, a backward process is followed to audit the balance sheet. First the item is located in Balance Sheet, and then it is located in the original records for the purpose of verification. This audit is based on the assumption that there exists a reliable system of internal control. It presumes that auditor is highly skilled and experienced.

## 2.9 Post and Vouch Audit

Post and Vouch audit refers to verification of all transactions from book of original entry and its posting in the ledger. The auditor uses different ticks for each aspect of examination like posting, totalling, balancing etc. In conduct of this audit, the auditor verifies the effectiveness of internal control system, if satisfied, he will resort to test checking of various types of transactions.

This type of audit is suitable for small business organisations and is not advisable for business concerns with large volume of transactions. Practically, this system of audit is no longer conducted due to vast increase in business transactions or due to introduction of merchandised system of accounting or when there is a good system of internal check in operation.

**AUDITS BASED ON SUBJECT MATTER**

- **Cost Audit:** Audit which is conducted to check the cost accounts, techniques and methods as per the provisions of Cost and Work Accountants Act, 1939.
- **Special Audit:** Special Audit is a type of audit conducted by the Central Government for some special objectives.

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